

million families who are the owners of our mutual funds and the beneficiaries of our pension plans.

While this mutation in the structure of ownership explains much of the change in our system of capitalism, a second force greatly accentuated the problem. Our newly empowered institutional agents also seemed to forget their traditional *principles* of trusteeship and prudent management, moving, as I have noted, from long-term investing to short-term speculation. When investors are focused, not on the intrinsic value of the corporation, but on the price of its stock, assuming some responsibility for corporate governance is the first casualty. Why be concerned with proxy voting, for example, if you may not even be holding the shares a year later?

The net result of this one-two punch was well described by Adam Smith, whose warning of 200-plus years ago seems to have been ignored:

Managers of other people's money [rarely] watch over it with the same anxious vigilance with which . . . they watch over their own . . . they very easily give themselves a dispensation. Negligence and profusion must always prevail.

And so in the recent era, negligence and profusion have prevailed among our corporate directors and our money managers, even to the point of an almost complete disregard of their duty and responsibility to the corporations' owners. Too few seem adequately aware of the lack of the "anxious vigilance" over other people's money that once defined professional conduct. To paraphrase Upton Sinclair: "It's amazing how difficult it is for a man to understand something if he's paid a small fortune *not* to understand it."

CEO Compensation: How Much Is Enough?

A "small fortune" may even be an inadequate description of what our corporations now pay their senior executives, driven in part by these